

## 24STCV30893 24STCV30893

County: los-angeles

Division: Civil Law and Motion

Department: 1

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Case Number: 24STCV30893 Hearing Date: June 25, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Dana Smith v. Heal the Bay

Case

No.: 24STCV30893

Hearing Date:

June 25, 2026

### TENTATIVE RULING

The Court hereby GRANTS final approval and awards/approves the following:

(1) \$83,333.33 for

attorney fees to Class Counsel, Zakay Law Group, APLC and JCL Law Firm, APC;

(2) \$15,000 for attorney costs to

Class Counsel; (3) enhancement payment of \$7,500 to the class representative, Dana Smith; (4)

\$6,500 (65% of \$10,000 PAGA penalty) to the LWDA; and (5) \$6,250 for settlement administration costs to Apex Class Action, LLC.

Plaintiff's counsel

shall file a proposed Order and Judgment, consistent with this ruling containing all requisite terms, including the class definition, release language, and the name of the class member who requested exclusion. The Court orders class counsel to file a final report summarizing all distributions made pursuant to the approved settlement, supported by declaration. The Court will set a non-appearance date for submission of a final report for \_\_\_\_\_.

## BACKGROUND

### Plaintiff

Dana Smith sues her former employer, Defendant Heal the Bay, for alleged wage and hour violations. Defendant operates an environmental conservation nonprofit in California, including in the county of Los Angeles. Plaintiff seeks to represent a class of Defendant's current and former non-exempt employees.

### On

November 22, 2024, Plaintiff commenced this action by filing a complaint alleging eight causes of action against Defendant for: (1) Unfair Competition in Violation of Cal. Bus. & Prof. Code § 17200 et seq; (2) Failure to Pay Minimum Wages in Violation of Cal. Lab. Code §§ 1194, 1197 & ; (3) Failure to Pay Overtime Wages in Violation of Cal. Lab. Code §§ 510,et seq; (4) Failure to Provide Required Meal Periods in Violation of Cal. Lab. Code §§ 226.7 & 512 and the Applicable IWC Wage Order; (5) Failure to Provide Required Rest Periods in Violation of Cal. Lab. Code §§ 226.7 & 512 and the Applicable IWC Wage Order; (6) Failure to Provide Accurate Itemized Statements in Violation of Cal. Lab. Code § 226; (7) Failure to Provide Wages When Due in Violation of Cal. Lab. Code §§ 201, 202, and 203; and (8) Failure to Reimburse Employees for Required Expenses in Violation of Cal. Lab. Code § 2802.

### On

January 27, 2025, Plaintiff commenced separate representative action, case number 25SMCV00413, alleging a single cause of action for civil penalties pursuant to the Private Attorneys General Act of 2004 (PAGA).

### On

July 23, 2025, the Parties participated in a full day mediation before mediator Craig Ackerman, Esq., which resulted in settlement. The terms of settlement were finalized in the long-form Class Action and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which was filed with the Court on December 26, 2025.

On

October 6, 2025, in furtherance of the settlement reached between the Parties, Plaintiff filed the operative First Amended Complaint in this action to add a representative cause of action under PAGA. On October 13, 2025, Plaintiff dismissed the PAGA action.

On

February 24, 2026, after the parties filed further briefing and an Amended Settlement Agreement to address concerns raised by the Court, preliminary approval of the settlement was granted.

Notice was given to

the Class Members as ordered (see Declaration of Katie Tran ("Tran Decl.")). Now before the Court is the Motion for Final Approval of the settlement.

#### SETTLEMENT

#### CLASS DEFINITION

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"Class"

means all persons who are or previously were employed by Defendant in California and classified as non-exempt employees at any time during the Class Period. (§1.5)

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"Class

Period" means the period beginning November 22, 2020, to June 1, 2025. (§1.12)

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"Aggrieved

Employees" means all individuals who are or previously were employed by Defendant in California and classified as nonexempt employees during the PAGA Period. (§1.4)

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"PAGA

Period" means the period between November 22, 2023, to June 1, 2025. (§1.31)

.

“Participating

Class Member” means a Class Member who does not submit a valid and timely Request for Exclusion from the Settlement. (¶1.35)

## TERMS

### OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Gross

Settlement Amount (“GSA”) is \$250,000, non-reversionary.  
(¶3.1)

o Escalator Clause: Based on its records, Defendant estimates that, as of the date of this Settlement Agreement, (1) there are 137 Class Members and 10,000 Total Workweeks during the Class Period and (2) there were 72 Aggrieved Employees who worked 1,800 Pay Periods during the PAGA Period. Fifteen days prior to Plaintiff’s deadline to file their motion for Preliminary Approval, Defendant will provide the Settlement Administrator with the employee data confirming the number of applicable Class Members and workweeks they worked during the Class Period. If the actual workweeks during the Class Period are more than 5% higher than the numbers represented by Defendant when conveyed to the Administrator, then Plaintiff has the right to void this agreement unless Defendant agrees to a proportional increase in the Gross Settlement Amount or to cut off the release period as of the date when it hits 10,000 Workweeks. (¶8)

o At final approval, the settlement administrator represents that the total number of Workweeks worked by Participating Class Members during the Class Period is 9,826. (Tran Decl., ¶15.) Accordingly, the escalator clause was not triggered.

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The

Net Settlement Amount (“Net”) estimated at preliminary approval (\$125,416.67) is the GSA minus the following:

o Up to \$83,333.33

(33 1/3%) for  
attorney fees (§3.2.2);

o Up to \$15,000 for litigation costs (Ibid.);

o Up to \$10,000 for a Service Payment to  
the Named Plaintiff (§3.2.1);

o Up to \$6,250 for settlement  
administration costs (§3.2.3); and

o Payment of \$10,000 PAGA penalty (65%  
or \$6,500 to the LWDA). (§3.2.5)

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Defendant  
will separately pay any and all employer payroll taxes owed on the Wage  
Portions of the Individual Class Payments. (§3.1)

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There  
is no claim form requirement. (§3.1)

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Individual Settlement Payment Calculation: Each  
Participating Class Member will receive an Individual Class Payment calculated  
by (a) dividing the Net Settlement Amount by the total number of Workweeks  
worked by all Participating Class Members during the Class Period and (b)  
multiplying the result by each Participating Class Member's Workweeks. (§3.2.4) Non-Participating Class Members will  
not receive any Individual Class Payments. The Administrator will retain  
amounts equal to their Individual Class Payments in the Net Settlement Amount  
for distribution to Participating Class Members on a pro rata basis. (§3.2.4.2)

o PAGA Payments: The Administrator will  
calculate each Individual PAGA Payment by (a) dividing the amount of the  
Aggrieved Employees' 35% share of PAGA Payment (\$3,500.00) by the total number  
of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period  
and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods.  
(§3.2.5.1)

o Tax Allocation: Participating Class Member's Individual

Class Payments will be allocated as follows: 15% as wages, 85% as interest and penalties. (§13.2.4.1) The Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (§13.2.5.2)

Response Deadline: "Response Deadline"

means forty-five (45) days after the Administrator mails Notice to Class Members and Aggrieved Employees and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail his or her Objection to the Settlement. Class Members to whom Notice Packets are re-sent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired. (§11.43) The same deadline applies to the submission of workweek disputes. (§17.6)

o If the number of valid Requests for Exclusion identified in the Exclusion List exceeds 5% of the total of all Class Members, Defendant may, but is not obligated, elect to withdraw from the Settlement. (§19)

Funding

of Settlement: Defendant shall fully fund the Gross Settlement Amount, and also fund the amounts necessary to fully pay Defendant's share of payroll taxes according to the following payment plan: Defendant will transmit 50% of the GSA (estimated to be \$125,000.00), plus employer side payroll taxes, to the Administrator no later than seventy-five (75) days after the Court's final approval of the Settlement. Defendant will transmit the remaining 50% of the GSA (estimated to be \$125,000.00) on or before February 15, 2027. (§14.3)

Disbursement:

Within twenty-one (21) days after Defendant fully funds the entire Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payment shall

not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§4.4)

Uncashed Settlement Checks: The face of each check shall prominently state the date (not less than 180 days after the date of mailing) when the check will be voided. (§4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of Code of Civil Procedure section 384. (§4.4.3)

The settlement administrator will be Apex Class Action LLC. (§1.2)

The proposed Settlement Agreement was submitted to the LWDA on December 26, 2025. (Zakay Decl. ISO Prelim, Exhibit 2.)

Releases of Claims. Effective on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Class Members, and Class Counsel will release claims against all Released Parties as follows: (§5)

o Release by Participating Class Members who are Not Aggrieved Employees: All Participating Class Members, including the Class Representative, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from any and all claims arising during the Class Period that were alleged in the Operative Complaint or reasonably could have been alleged based on the facts stated in the Operative Complaint in the Action, including the claims for failure to pay minimum and overtime wages, failure to provide meal and rest breaks and/or premiums, waiting time penalties, wage statement violations, failure to reimburse employees for business expenses, and unfair business practice claims

based on the foregoing. This release expressly excludes all other claims, including claims for vested benefits, wrongful termination, unemployment insurance, disability, social security, workers' compensation, and class claims outside of the Class Period. (§5.1)

o Release by Aggrieved

Employees: All Aggrieved Employees, including the Class Representative and Aggrieved Employees who are Non-Participating Class Members, are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the Operative Complaint of the Action and the PAGA Notice including the claims for failure to pay minimum and overtime wages, failure to provide meal and rest breaks and/or premiums, waiting time penalties, wage statement violations, and failure to reimburse employees for business expenses. (§5.2)

§

"PAGA Notice" means Plaintiff's November 22, 2024, letter to Defendant and the LWDA providing notice pursuant to Labor Code section 2699.3, subd.(a). (§1.33)

§

Because future PAGA claims are subject to claim preclusion upon entry of the Judgment, Non-Participating Class Members who are Aggrieved Employees are deemed to release the claims identified in Paragraph 5.2 of this Agreement and are eligible for an Individual PAGA Payment. (§7.5.4)

o

"Released Parties" means Defendant Heal the Bay and its, subsidiaries, affiliates, current and former shareholders, owners, members, directors, officers, board members, agents, employees, predecessors, successors, assigns, PEO's and insureds. (§1.41)

o

In addition to this Agreement and the claims she is releasing hereby as a Class Representative, Plaintiff is entering into a separate individual settlement agreement, which shall provide for a separate individual payment, and which shall provide for an additional broad release, including a waiver of Civil Code Section 1542. The Parties acknowledge such

approval of this Agreement may require disclosure of the Individual Settlement, and consent to same for that limited purpose. (¶12.4)

#### ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of February 24, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion.

Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class.

Reaction  
of the class members to the proposed settlement.

Number of class members: 137 (Tran Decl., ¶4.)

Number of notice packets mailed: 137 (Id. at ¶7.)

Number of undeliverable notices: 3 (Id. at ¶9.)

Number of opt-outs: 1 (Id. at ¶11.)

Number of objections: 0 (Id. at ¶12.)

Number of participating class members: 136 (Id. at ¶14.)

Average individual payment: \$922.18 (Id. at ¶16.)

Highest individual payment: \$3,012.25 (Ibid.)

The

Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

#### C. Attorney Fees and Costs

Class

Counsel requests an award of \$83,333.33 in fees and \$15,000 in costs. (Memo ISO Plaintiff's Motion for Class Counsel Award at 1:5-8.) The Settlement Agreement provides for up to \$83,333.33 (33 1/3%) of the GSA in fees and \$15,000 in costs (¶3.2.2).

"Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method." (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Plaintiff's Motion for Class Counsel Award at pp. 2-13.)

In

common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents one-third of the gross settlement amount, which is the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 ["Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery."].)

Class

Counsel has provided some information, summarized below, regarding their lodestar on this case:

Firm

Rates

Hours

Totals

Zakay

Law Group

\$550-750

106.6

\$73,805.00

JCL

Law Firm

\$250-850

38.2

\$25,510.00

Totals

144.8

\$99,315.00

(Declaration of Shani O. Zakay ISO Final, ¶¶7-9; Exhibit 3; Declaration of Jean-Claude Lapuyade ISO Final, ¶8.)

Counsel's percentage-based fee request is lower than the unadjusted lodestar, and would represent application of a multiplier of approximately 0.84x.

Fee Split: Class Counsel Fees Payment shall be divided between Class Counsel with 50% apportioned JCL Law Firm, APC, and 50% apportioned to Zakay Law Group, APLC. Plaintiff has been apprised of this split in writing and

has consented to this fee split. (Zakay Decl. ISO Prelim, ¶42.)

Here, the fee request represents a reasonable percentage of the total funds paid by Defendant. Notice of the fee request was provided to class members in the notice packet and no one objected. (Tran Decl., ¶12, Exhibit A.)

As

for costs, Class Counsel is requesting a cost amount of \$15,000. This equals the \$15,000 cap estimated at preliminary approval, which was disclosed to Class Members in the Notice and not objected to. (Tran Decl., ¶12, Exhibit A.) Counsel represent that they incurred actual costs totaling \$17,826.73, which include, but are not limited to: filing and service fees, Case Anywhere, expert costs, and mediation fees. (Zakay Decl. ISO Final, ¶4, Exhibit 2; Lapuyade Decl. ISO Final, ¶11, Exhibit 1.) The costs appear to be reasonable in amount \$8,109.82 and reasonably necessary to this litigation.

Based on the above, the Court awards \$83,333.33 in fees and \$15,000 in costs.

#### D. Incentive Award

The class representative, Dana Smith, seeks a service award of \$10,000 for her contributions to the action. (Memo ISO Plaintiff's Motion for Class Counsel Award at 14:13-15.)

In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they "should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class."

(Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with "nothing more than pro forma claims as to 'countless' hours expended, 'potential stigma' and 'potential risk.'

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order

for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit . . . .’” (Id. at 806-807, italics and ellipsis in original.)

Plaintiff represents that her contributions to this litigation include: being in regular contact with her attorneys, attending hearings, reviewing court filings, and spending time on the issues presented during litigation and in the settlement process. She estimates spending 20-25 hours on the case. (Declaration of Dana Smith ISO Final, ¶12.)

Based on the above, as well as the benefits obtained on behalf of the class, the Court grants an enhancement payment in the amount of \$7,500 to Plaintiff.

E.

#### Settlement Administration Costs

The settlement administrator, Apex Class Action, LLC, is requesting \$6,250 for the costs of settlement administration. (Tran Decl., ¶19.) This equals the estimate of \$6,250 provided for at preliminary approval (¶3.2.3) and disclosed to the class on the Notice, to which there were no objections. (Tran Decl., ¶12, Exhibit A.) Based on the above, the recommendation is to award costs in the requested amount of \$6,250.